

Taiwan Technology: TECO (1504.TW) Mgmt. visit: AI data center in expansion; 5-year deployment pipeline in Malaysia & Thailand

We visited TECO (1504.TW, Not Covered) in Taiwan recently. Management remains positive on 2026 growth driven by AI data center expansion, echoing our positive view on AI servers ramp up along with specification upgrade. As we highlighted in Jan ([report link](#)), we expect AI servers implied numbers of AI chips to grow at 49% / 31% YoY in 2026 / 27E, with ASIC penetration rate up to 40% / 50%, benefiting overall AI servers supply chain. TECO enhances Hon Hai's capability in the last mile: data center construction. We see Hon Hai's strong R&D, automated production, fast delivery, comprehensive coverage across components, system, and construction (via TECO), and global production sites enhances Hon Hai's leading market position in AI servers.

Read more: [Hon Hai Chairman visit](#); [Hon Hai and TECO partnership](#).

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Company profile: TECO was founded in 1956, starting with motor manufacturing and is currently among the five largest industrial motor suppliers worldwide. The company mainly offers electromechanical systems, with three major business groups of Green Mechatronic Solutions, Intelligence Energy, and Air & Intelligent Life. Apart from its traditional motor business, TECO is expanding in new markets including ESCO low-carbon solutions, EV powertrain, offshore wind power, energy storage system and data center engineering. The company has built 700 MV of data centers in South East Asia.

Key takeaways

1. 2026 outlook: TECO delivered +7% / +4% revenues YoY in 2025 / 2M26, and expect 2026 revenues to grow at low double digit with OPM expansion considering rising operation efficiency under rising scale and product mix changes. AI data centers deployment remains the key driver in 2026, aiming revenues to grow at mid double digit, with revenues contribution to increase from <10% of intelligence energy in 2025 to 30%+ in 2026E, driving intelligence energy GM. The company also aims to upgrade its air conditioner business, focusing more on commercial models and aims to penetrate AI data centers. Motors and Transformers, the company's current major revenues contributor, is also expected to resume growth in 2026, driven by US market (mainly oil and gas, power generation industry), followed by Europe and China markets.

2. AI data center outlook: TECO provides both IT and MEP deployment, accounting for 20-30% of total AI data center costs. On IT, it is mainly the fiber / networking deployment, and the company is the major supplier to its main customer in US CSPs. On MEP, it is mainly power supply and overall AI data center cooling, which could

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have more suppliers for a single customer. The company's AI data center business in 2026E would be mainly in Southeast Asia for two leading US CSPs, and the company continue to seek for other leading US CSPs projects in Southeast Asia. For their current major customer, the company sees 1GW / 5-year projects in both Malaysia and Thailand, supporting TECO's growth in coming years.

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